The bottom portion of the table shows how often this method works. I used the full height of the pattern in the example during a bull market. The table says there's a 58% chance that the stock will reach the target before reversing and forming a new trend. If you cut the height in half and add it to the breakout price, the stock will reach the closer target 74% of the time.

For downward breakouts, if the target is below zero, then ignore it. The stock won't go below zero, at least not in this universe. And if it does, we probably won't be around to see it.

For both breakout directions, if the target is too far away (divide the height by the current price and express it as a percentage), then ignore it. Use Table 66.3 to help you decide how likely it will be for the stock to reach a target.

In our example, the height is 1.37 and the breakout price is 9.13 for a potential gain of 1.37/9.13 or 15%. Table 66.3 says that after an upward breakout in bull markets, nearly half (49%) of patterns will fail to see price rise more than 15%.

Some symmetrical triangles act like larger versions of pennants. They are half-staff patterns and mark the halfway point in a move (like a measured move up or down chart pattern). Had the triangle broken out downward, it might have continued down and fulfilled the measure rule.

In such a case, the measure from point C (on the left at 11.88 is the start of the move leading to the triangle) to point A (the bottom of the triangle) should be subtracted from the value of point B (the triangle's high). The result is the target price of 6.25.

Use one or both measure rules as appropriate to the situation. The first method, using the formation height, is the more conservative of the two and more likely to be fulfilled.

Wait for breakout. Always wait for a breakout. Occasionally, price squeezes out the triangle apex and has no breakout at all (until it moves far enough to show a trend). This is a rarity, but it does happen. Once price shows a trend preference, trade with the trend: Go long if price breaks out upward and short after downward breakouts (or skip the trade and look elsewhere).